

Introduction to Macroeconomics

Mbak 9515: Economics

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Supply and Demand Together

Three Steps to Analyzing Changes in Equilibrium

- 1 Decide whether the event shifts the supply curve, the demand curve, or, in some cases, both curves
- 2 Decide whether the curve shifts to the right or to the left
- 3 Use the supply-and-demand diagram
 - ▶ Compare the initial and the new equilibrium
 - ▶ Effects on equilibrium price and quantity

Supply and Demand Together

A Change in Market Equilibrium Due to a Shift in Demand

- One summer, very hot weather
- Effect on the market for ice cream?

- 1 Hot weather: shifts the demand curve (tastes)
- 2 Demand curve shifts to the right
- 3 Higher equilibrium price; higher equilibrium quantity

Supply and Demand Together

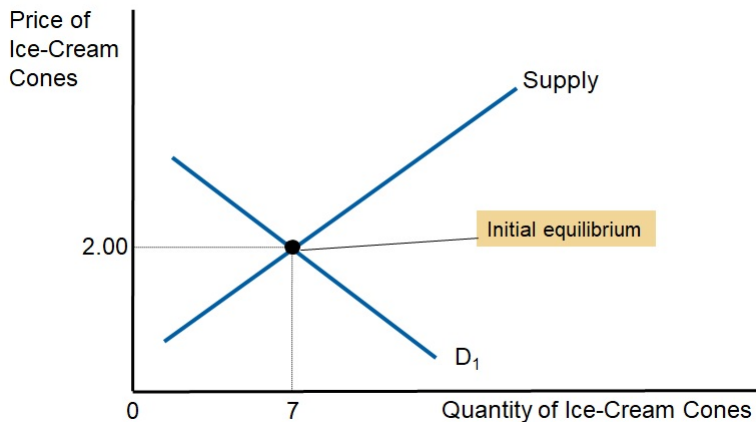
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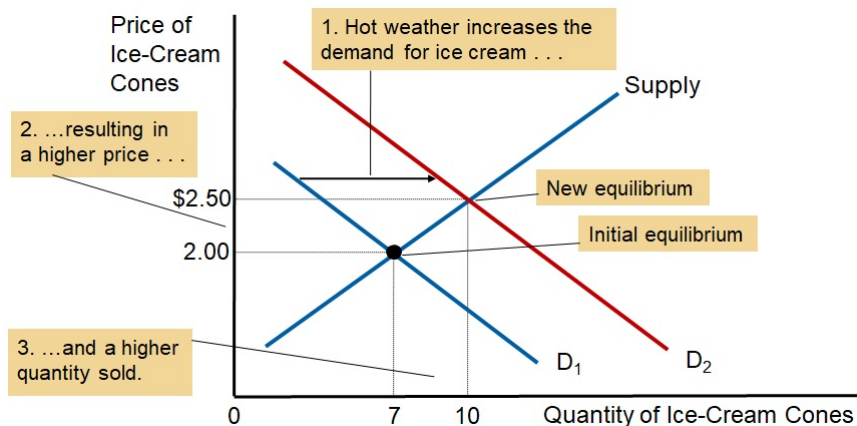
Supply and Demand Together

A Change in Market Equilibrium Due to a Shift in Demand



Supply and Demand Together

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Supply and Demand Together

A Change in Market Equilibrium Due to a Shift in Supply

- One summer, a hurricane destroys part of the sugarcane crop: higher price of sugar
- Effect on the market for ice cream?

- 1 Change in price of sugar: supply curve
- 2 Supply curve: shifts to the left
- 3 Higher equilibrium price; lower equilibrium quantity

Supply and Demand Together

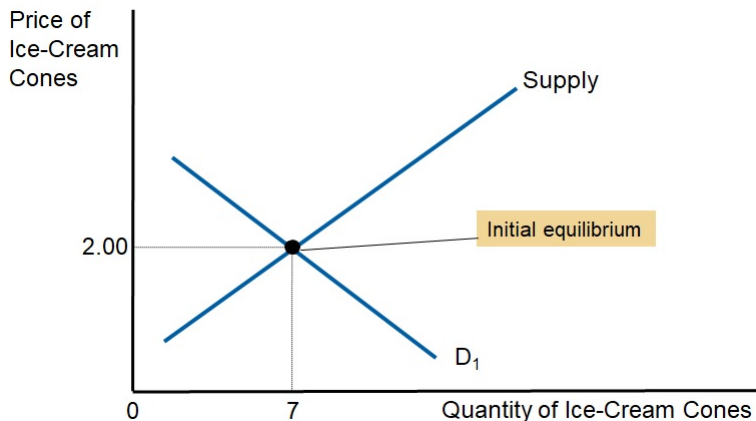
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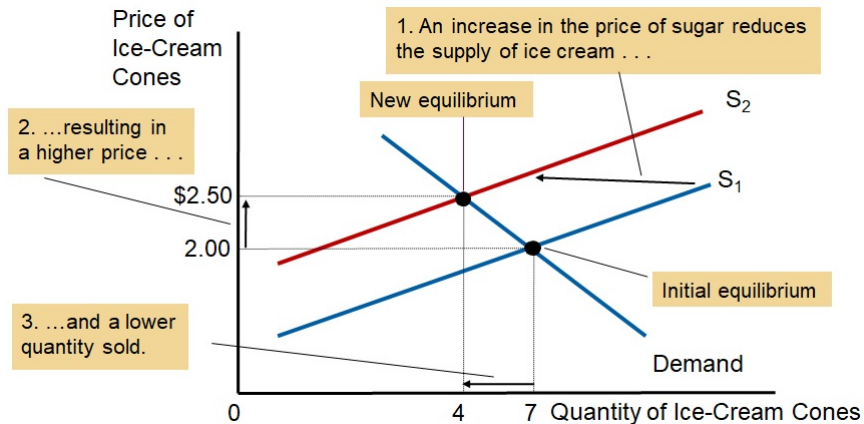
Supply and Demand Together

A Change in Market Equilibrium Due to a Shift in Supply



Supply and Demand Together

A Change in Market Equilibrium Due to a Shift in Supply



Supply and Demand Together

Shifts in both Supply and Demand

- One summer: hurricane and heat wave
- Effect on the market for ice cream?

- 1 Heat wave shifts the demand curve; hurricane shifts the supply curve
- 2 Demand curve shifts to the right; Supply curve shifts to the left
- 3 Equilibrium price raises
 - 1 If demand increases substantially while supply falls just a little: equilibrium quantity **rises**
 - 2 If supply falls substantially while demand rises just a little: equilibrium quantity **falls**

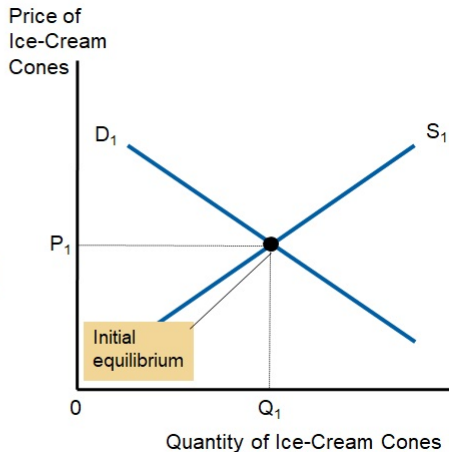
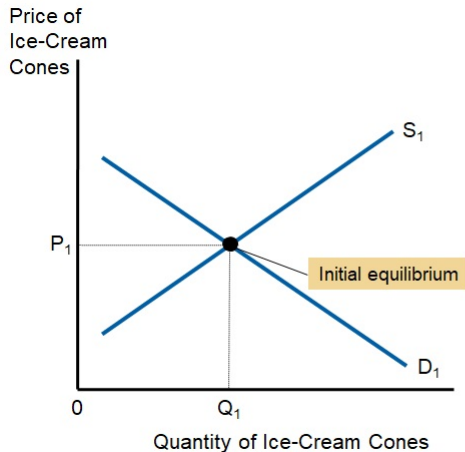
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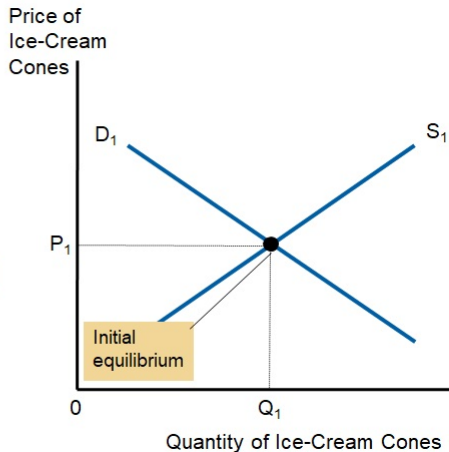
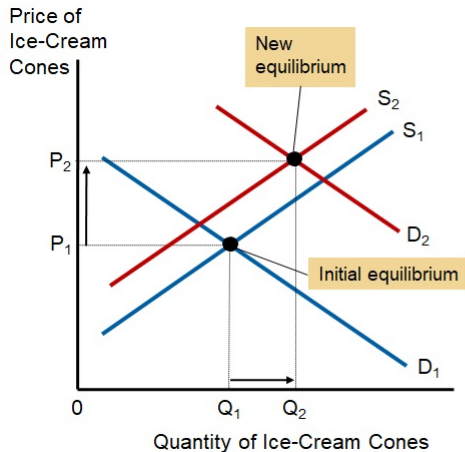
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Shifts in both Supply and Demand



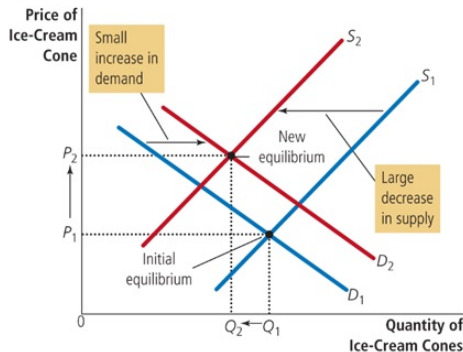
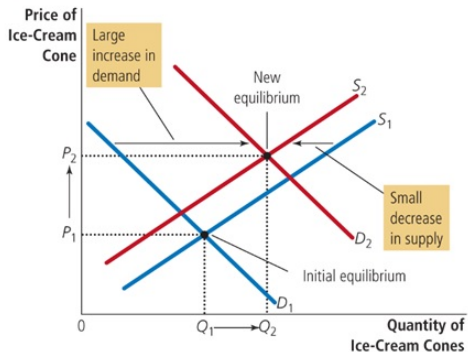
Supply and Demand Together

Shifts in both Supply and Demand



Supply and Demand Together

Shifts in both Supply and Demand



Supply and Demand Together

Shifts in both Supply and Demand

	No Change in Supply	An Increase in Supply	A Decrease in Supply
No Change in Demand	P same Q same	P down Q up	P up Q down
An Increase in Demand	P up Q up	P ambiguous Q up	P up Q ambiguous
A Decrease in Demand	P down Q down	P down Q ambiguous	P ambiguous Q down

How Prices Allocate Resources

- Signals that guide the allocation of resources
- Mechanism for rationing scarce resources
- Determine who produces each good and how much is produced

The Bird's-Eye View of the Economy

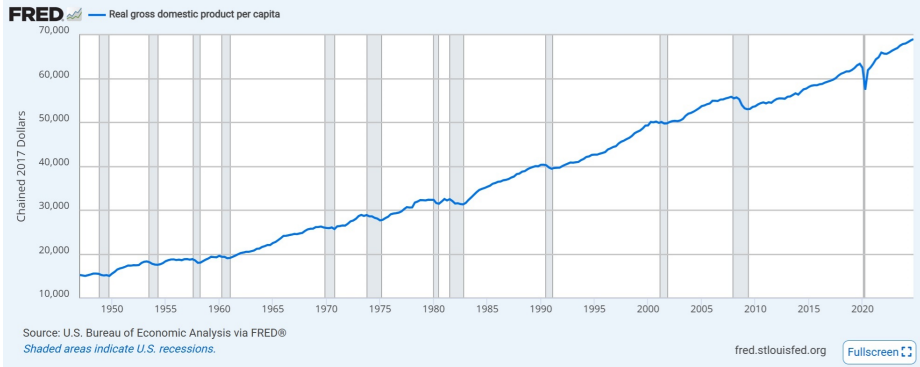
The Major Macroeconomic Issues

Economic Growth and Living Standards

- People living in the wealthy industrialized countries enjoy good *standard of living*:
 - ▶ They enjoy more and better goods and services
 - ▶ longer life expectancy and better general health
 - ▶ higher literacy rates
 - ▶ better recreation, education, working conditions
- Higher *incomes* are a major reason for these.

The Major Macroeconomic Issues

Economic Growth and Living Standards



The Major Macroeconomic Issues

Productivity and Living Standards

- In 2015, according to data from the World Bank
 - ▶ the U.S. economy: \$18,037 billion of GDP, 321 million of populations, and 148 millions of workers
 - ▶ China economy: \$11,065 billion of GDP, 1,371 million of populations, and 765 millions of workers

	U.S.	China
Output per person	\$56,190	\$8,070
Average labor productivity	\$121,872	\$14,464

- The average person's living standard between the two countries is very different

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The Major Macroeconomic Issues

Productivity

- The average worker can produce *5 times* the quantity of goods and services produced by a worker in 1929
 - ▶ the workweek is much shorter
- The current standard of living in the US is much higher than any other countries
 - ▶ Why is income high in some countries but not others?
 - ▶ Can the government do anything to alter growth or the standard of living?

The Major Macroeconomic Issues

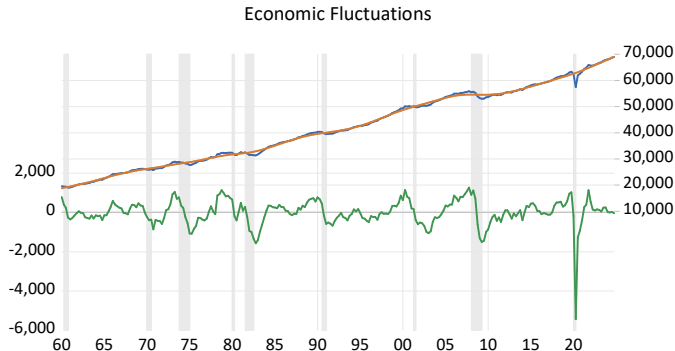
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Recessions and Expansions

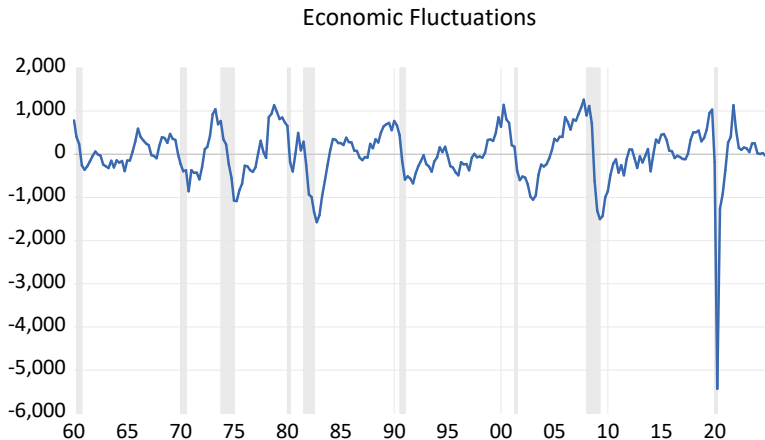
- Economies do not always grow steadily
 - ▶ Recessions: slowdowns in economic growth
 - ▶ Expansions: rapid economic growth



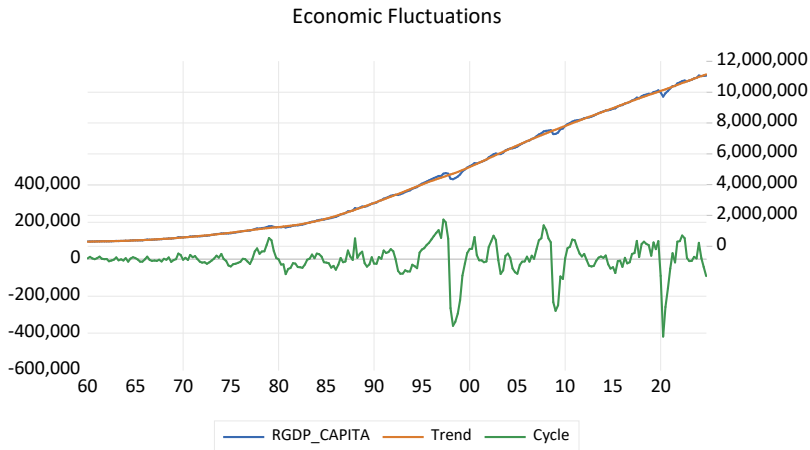
The Major Macroeconomic Issues

Recessions and Expansions

- What causes these short-term fluctuations?
- Can government policymakers do anything about them?



Korea real GDP



The Major Macroeconomic Issues

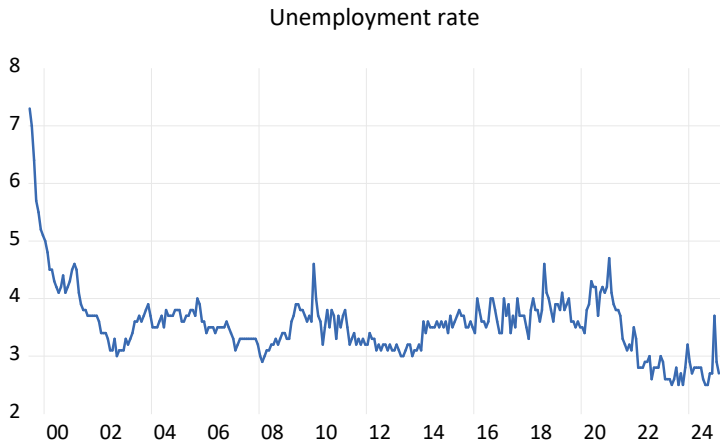
Unemployment

- The unemployment rate: the fraction of people who *would like to* be employed but *cannot find work*
 - ▶ Unemployment rate rises during recessions



- What unemployment rate is healthy?

Korea unemployment rate



The Major Macroeconomic Issues

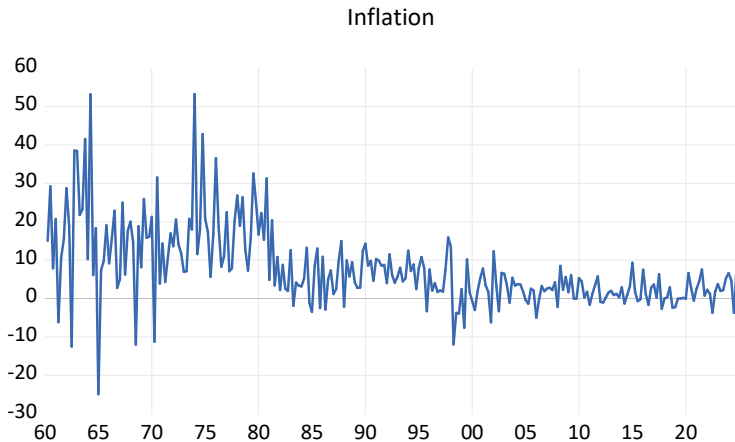
Inflation

- The inflation rate: prices in general are increasing over time
- High inflation $\Rightarrow$ less purchasing power



- Relation with unemployment?

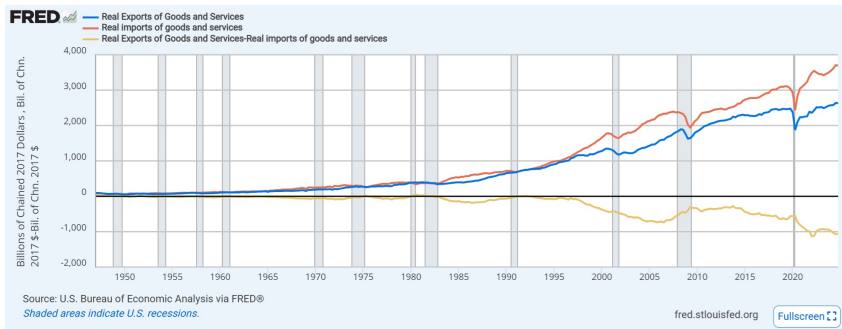
Korea inflation rate



The Major Macroeconomic Issues

Exports and Imports

- Exports: the quantity of goods and services that a country sells abroad
- Imports: the quantity of goods and services that a country buys from abroad



Macroeconomic Policy

Types of Macroeconomic Policy

- Government policies that affect the economy as a whole
- Monetary policy: the determination of the nation's money supply
 - ▶ Why? changes in the money supply affect GDP, employment, inflation
- Fiscal policy: decisions that determine the government's budget
 - ▶ government spending and taxes
- Structural policy: government policies aimed at changing the underlying structure
 - ▶ Government control of the economy $\Rightarrow$ a more market oriented approach

U.S. interest rate



Korea interest rate

